

Introduction

Who really pays the price of protectionist trade policies?

Trade refers to a voluntary exchange between two parties (The Economic Times, 2025). Trade has multiple benefits for countries: it accelerates productivity and growth, particularly for sectors and countries engaged in global value chains (GVCs) (Ortiz-Ospina et al., 2024), and it enables countries to expand their markets and access goods and services that might otherwise not be available domestically (Heakal, 2023). How international trade should be undertaken, however, has two main views (Heakal, 2023): (1) free trade – the main idea is that supply and demand factors, operating on a global scale, will ensure that production happens efficiently. Therefore, no action is required to protect or promote trade and growth, as market forces will do so automatically. Protectionism holds that the regulation of international trade is important to ensure that markets function properly. Advocates of this theory argue that market inefficiencies may undermine the benefits of international trade and seek to guide markets accordingly. Protectionism takes many forms, but the most common are tariffs, subsidies, and quotas.

Each economy adopts a trade strategy based on its circumstances. India's trade policy, for instance, initially evolved from strict protectionism aimed at achieving self-sufficiency to a liberalised approach in 1991. However, India's trade policy has again shifted towards protectionism, marked by schemes such as "Aatmanirbhar Bharat" (Self-Reliant India) and "Make in India" initiatives. This has yielded several positive consequences for the Indian economy, including the development of domestic capacity and the strengthening of strategic sectors. That said, this has also led to higher consumer prices, reduced export competitiveness, supply chain disruptions, and potential retaliation by trading partners. There is a social aspect to a country's trade policy as well: in India, protectionism can act almost like a regressive tax, disproportionately affecting the poor and middle class, who spend a higher percentage of their income on consumer goods, thereby aggravating income inequality. This paper, therefore, aims to answer the following question: **To what extent has India's recent shift toward trade protectionism affected social and income inequality?**

In answering the research question, the paper examines India's trade trajectory and recent shift toward protectionism and evaluates the implications for social inequality.

Literature Review

The stance on trade, more specifically open or free trade, dates back a very long time. For instance, Adam Smith, considered the father of economics, proposed the theory of absolute advantage in his book 'Wealth of Nations' in the year 1776. The absolute advantage of a country refers to the ability of a country to produce a greater quantity of a good or service than its competitors using the same amount of resources, or to produce the same amount using fewer resources. Countries should, therefore, specialise in producing goods they can manufacture more efficiently (using fewer resources or labour hours) than other nations (Chappelow, 2023). By focusing on these goods and trading for others, nations can increase total output and improve their economic welfare.

Building on Adam Smith's concept, David Ricardo introduced the concept of comparative advantage in his 1817 book 'On the Principles of Political Economy and Taxation'. The theory states that international trade benefits countries by allowing them to specialise in producing goods at lower opportunity costs, even when another nation has an absolute advantage in all goods (Hayes, 2025). Opportunity cost is the value of the next-best alternative forgone by making a particular choice (Fernando, 2025). So, while absolute advantage focuses on producing more goods with fewer resources, comparative advantage centres on lower opportunity costs, allowing for mutually beneficial trade even if one party is less efficient overall. This approach benefits both sides. It allows each country to save resources and gain from the other's strengths. This way, trade becomes more efficient and balanced. The principle remains the cornerstone of modern trade theory and shapes free trade agreements. It provides the rationale for why countries, even with lower productivity, can gainfully participate in the global economy.

However, not all economists shared this opinion on unrestricted trade. Alexander Hamilton was one such economist. He advanced the infant industry argument, which holds that new, emerging industries require protection from international competitors until they are large enough to

compete with them. If international competitors enter markets when domestic industries are underdeveloped, they can sell goods at lower prices and gain market control. This argument is used to oppose free, unrestricted trade. There are many arguments in favour of this theory, including stimulating domestic production, reducing reliance on other countries, and developing the domestic market (CFI Team, 2022). This theory was expanded by Friedrich List. He argued in *The National System of Political Economy* (1841) that manufacturing power is essential for a society. It is beneficial for a country to sacrifice short-term gains to establish its industrial base. Protectionism is just as justified as liberalisation; depending on the specific situation, there is no one superior way.

Different schools of economic thought shared different approaches to trade policy. Neoclassical economists focus more on consumer utility than on production costs when valuing products (Kenton, 2024). Neoclassical perspectives thus tend to favour trade liberalisation. This view is mainly due to the theory of comparative advantage. Developmentalist and structuralist approaches, on the other hand, often support greater state intervention in trade and industrial policy. They support national strategies such as infant-industry protection and fear that opening the national economy will disrupt their country's development (Kenton, 2024).

Trade policies also affect a country's social inequalities. The relationship between trade policy and inequality remains heavily debated within the academic literature. While free trade can increase overall economic efficiency and consumer welfare through lower prices and greater product availability, economists have increasingly recognised that its benefits are not distributed equally across society. According to the World Trade Organisation (WTO) (2008), trade liberalisation creates both winners and losers as some industries and workers gain access to larger markets while others face increased foreign competition. Similarly, the United Nations Conference on Trade and Development (2019) notes that although globalisation has contributed to poverty reduction in many developing economies, it has also widened income disparities within countries where gains from trade are concentrated amongst skilled workers, capital owners and internationally competitive firms. Protectionist policies seek to address some of these concerns by shielding domestic industries and employment. However, economists argue that tariffs and import restrictions may themselves generate inequality by increasing consumer prices

and disproportionately burdening lower-income households, which spend a greater share of their income on consumption. Consequently, the impact of trade policy on inequality remains complex, requiring an examination not only of economic growth but also of how costs and benefits are distributed across society.

International trade remains a powerful engine for growth; however, countries still need to be mindful of their trade stance due to the reasons given above. This is particularly true for developing countries like India, which itself has shifted its stance on trade liberalisation over the years, as explored in detail in the next sections.

India's Trade Trajectory

India followed a highly protectionist trade policy post-independence, and local industries were granted subsidies to protect them from international competition. There were heavy restrictions on imports; however, the government encouraged exports, yet overall it disfavoured free trade. This was diminishing towards the average citizen's life; they had to wait 10 years for a fixed telephone line and 15 years for a Bajaj scooter (Manur, 2024). The broad pattern of India's trade policy was that each effort towards trade liberalisation and reform was not only soon backtracked after it came into effect, but also pulled further back. In the 1960s, India experienced high inflation, and Indian goods became uncompetitive in global markets. The devaluation of the rupee indicated a need for a change of policy. This demonstrated some of the limitations of a highly protectionist model, as excessive restrictions reduced competition and limited economic efficiency. While these policies initially aligned with the infant industry argument by protecting domestic producers, the challenges faced by the Indian economy highlighted the difficulty of sustaining protectionism over the long term.

Trade policy reforms were an integral part of the economic reforms initiated in 1991. The Indian economy has seen an average annual growth of more than 8% since the reforms. There has also been a decline in the poverty ratio from 45% in 1993-94 to 32% in 2009-10. Private investments have grown rapidly, with many positive signs for the economy. The share of the sectors in GDP increased from 43% in 1990-91 to 58% in 2010-11, with the service sector showing the most

growth of 8.7% from 2000-01 to 2010-11. To further its aim towards liberalisation, India joined the WTO in 1995. The WTO is an international organisation that sets the global rules of trade between nations. Its main function is to ensure that trade flows as smoothly, predictably, and freely as possible. India is one of the founding members of the WTO. India restructured its trade policies to comply with WTO regulations, as WTO membership required an open and transparent trade regime (liberalised). This yielded significant benefits for India's economy, transforming it from a largely closed economy to one of the world's largest economies.

These measures facilitated the unrestricted flow of capital and investments to India. It caused an increase in the value of the stock market (ISPP, 2023). Merchandise plus services exports rose from \$274.80 billion to \$544.73 billion from the financial year 2009-10 to 2021-22 (Apr-Jan), while merchandise plus services imports also rose from \$348.40 billion to \$613.65 billion in the same period (Government of India Ministry of Commerce & Industry, 2022). Now, the Organisation for Economic Cooperation and Development (OECD) has pegged India's GDP growth rate at 7.6 per cent for 2025-26, 6.1 per cent for 2026-27 and 6.4 per cent for 2027-28, making India the world's fastest-growing major economy (OECD, 2026). Overall, liberalisation reshaped India's economic landscape by increasing its integration into global markets, expanding trade flows and strengthening its position within the global economy.

Despite the widely recognised success of liberalisation, recently there has been a shift towards protectionist trade policies, particularly from around 2017–2018. The US Trade Department has pointed to India as the country with the highest tariffs, averaging 13.8% in 2019. The government has raised import duties on goods including sunglasses, cigarette lighters and fruit juice to discourage Chinese imports and encourage domestic production (Chan, 2019). This is reflective of the Modi government's shift to protectionism. India pulled out of the Regional Comprehensive Economic Partnership (RCEP) in 2019, which became the world's largest Free Trade Agreement. It was signed by 15 Asia-Pacific countries, which account for about 30 percent of global GDP and population (Singh, 2025). The Make In India scheme was introduced by the Modi government in 2014 to 'transform India into a global design and manufacturing hub' (Make In India, 2024). However, the outcomes of these policies have been mixed. Despite the objective of expanding domestic production, manufacturing as a share of GDP declined from

16.3% in FY2014 to 14.7% in FY2019, suggesting that protectionist policies alone were insufficient to transform India's industrial structure. In response, the government strengthened its approach through the launch of Aatmanirbhar Bharat (Self-Reliant India) in 2020 and the Production Linked Incentive (PLI) scheme, which provided targeted support to strategic sectors. India's reliance on imports has been decreasing steadily in industries like electronics. India has become the world's second-largest manufacturer of mobile phones. Imports of air conditioners have fallen by 65%. The PLI scheme has further emphasised domestic production. There has been a clear policy shift.

India's trade trajectory reflects the tension between liberalisation and protectionism seen in the literature review. While post-independence protectionism reflected the infant industry argument advanced by Hamilton and List, the 1991 reforms represented a shift towards the principles of liberalisation and comparative advantage. However, India's recent return towards selective protectionism demonstrates that developing economies often balance the benefits of global integration with the desire to strengthen domestic industries.

Economic Rationale Behind India's Protectionist Turn

India's shift to protectionism is not arbitrary but reflects a deliberate and strategic use of trade policy to influence domestic economic outcomes. While trade liberalisation can generate economic growth, it may also create adjustment challenges for developing economies as domestic producers are exposed to competition from more established foreign firms. Therefore, India's recent policy shift reflects an attempt to reduce import dependence, strengthen domestic production and develop strategically important industries. For instance, India has protected newly emerging industries like electric vehicles through very high tariffs on imports (Reuters, 2024). By protecting these industries, the government allows workers to gain expertise in their respective professions and flourish in the future against international competition. Another rationale behind India's protectionist shift is increasing economic resilience. Global disruptions such as the COVID-19 pandemic highlighted the risks of excessive dependence on international supply chains, particularly for essential goods and strategic industries. As a result, policies such

as Aatmanirbhar Bharat have focused on improving domestic manufacturing capacity and reducing vulnerability to external shocks.

However, classical economists such as Adam Smith have argued that excessive protectionist policies and government intervention can disrupt the efficient functioning of markets, potentially reducing overall economic welfare. To limit these risks, policies such as the Production Linked Incentive scheme are designed as targeted interventions rather than permanent protection. This reflects Friedrich List's argument that countries may need to sacrifice short-term efficiency to establish stronger industrial capacity. Therefore, India's protectionist approach has focused not only on protecting infant industries but also on developing sectors considered important for long-term economic growth and global competitiveness.

While these justifications are theoretically grounded, the effectiveness of protectionism remains contested. Economists argue that tariffs and import restrictions can create deadweight losses by increasing prices, reducing consumer choice and preventing resources from being allocated to their efficient uses. Additionally, excessive protection may reduce competitive pressure on domestic firms, potentially limiting innovation and reducing the ability to compete internationally. Critics also argue that protecting weaker industries may divert resources away from sectors where a country already holds a comparative advantage. Furthermore, increased tariffs may encourage retaliatory measures from trading partners, limiting the potential benefits of international trade.

Therefore, while both liberal and protectionist approaches present economic advantages, evaluating India's recent policy shift requires looking beyond aggregate economic outcomes. The broader social and distributional effects of these policies must also be considered, particularly in relation to how their costs and benefits are shared across different groups in society.

Social and Distributive Impacts of India's Trade Trajectory

While protectionist policies are often evaluated based on their contribution to economic growth, industrial development and self-reliance, their effects are not distributed equally across society.

Trade policies create both winners and losers, meaning that aggregate economic gains do not necessarily translate into inclusive development.

The benefits generated by protectionism are often concentrated among specific industries and firms, while the costs tend to be more evenly distributed across society. Policies such as Make in India and PLI scheme have provided significant support to industries including electronics, automobiles and pharmaceuticals. That said, the benefits are primarily captured by firms and workers within these protected industries. For instance, India's electronics sector experienced rapid growth with mobile phone production increasing from approximately 60 million units in 2014-15 to over 310 million units in 2021-22 (Krishnakumar, 2022). While this demonstrates the success of industrial policy, it also highlights that economic benefits remain concentrated in selected sectors rather than being evenly distributed across the economy.

This uneven distribution can also be observed geographically. Research on the economic complexity of Indian states demonstrates that industrial capabilities remain unevenly distributed across regions (Thomas and Chakraborty, 2025). States with stronger infrastructure and industrial ecosystems, such as Gujarat and Maharashtra, have historically attracted greater manufacturing investment and benefited more from industrial policies. For instance, “Maharashtra had the highest number of approved industrial projects between April and December 2023, according to the state’s economic survey for 2023-24.. Yet Gujarat reported the highest investment. Maharashtra had 264 approved projects with an investment of Rs 59,551 crore, while Gujarat had 190 projects with an investment of Rs 62,535 crore” (Kakodkar, 2024). In contrast, states such as Bihar and Uttar Pradesh have faced greater challenges due to weaker infrastructure and lower industrial development. Therefore, even when protectionist policies successfully encourage domestic production, their benefits may reinforce existing regional inequalities.

The employment effects of protectionism are also complex. While protecting domestic industries can create jobs by encouraging local production, these benefits depend on the type and quality of employment generated. Manufacturing growth does not automatically guarantee inclusive employment, particularly in an economy like India, where a significant proportion of workers

remain employed in the informal sector. According to the International Labour Organisation, more than 80% of India's workforce continues to work in informal employment (Waghmare, 2026), meaning that industrial growth may not immediately translate into stable income improvements for all workers.

Overall, India's shift towards protectionism presents a trade-off between economic development and distributional equality. While policies such as Aatmanirbhar Bharat and PLI schemes may strengthen strategic industries, improve domestic capacity and create employment opportunities, their benefits are not distributed equally.

Conclusion

This paper has examined India's trade trajectory and recent shift toward protectionism and evaluated the implications for social inequality. While trade policies are often justified in terms of economic growth and industrial development, their outcomes are not uniform and can create both winners and losers. India followed a highly protectionist trade policy post-independence, followed by liberalisation in 1991, before shifting towards protectionism again around 2018-19. Free trade versus protectionism has been a topic of debate among economists throughout history, as discussed in the literature review. India's trade trajectory is perhaps one of the most interesting examples of this debate, as the country has shifted between these theories based on its economic circumstances.

However, a country's trade policy doesn't only affect its economy; it also influences social and income disparities within society. Liberalisation in 1991 strengthened the economy, reduced poverty, and connected India with the rest of the world. Yet, India has recently shifted towards protectionism to reduce reliance on imports and strengthen its domestic industries. While these policies have supported strategic sectors and encouraged domestic production, their benefits have not been distributed equally. Tariffs and import restrictions can raise domestic prices and limit the availability of goods, disproportionately affecting lower-income households who spend a larger share of their income on consumption. Furthermore, the benefits of protectionism are often

concentrated among specific industries, firms and regions that are better positioned to take advantage of government support.

Therefore, India's recent shift towards protectionism has had a mixed impact on social and income inequality. Although these policies may contribute to long-term industrial development and economic resilience, they also risk reinforcing existing inequalities if the gains remain concentrated while the costs are spread across consumers. Ultimately, protectionism is not inherently beneficial or harmful; its impact depends on whether industrial growth is accompanied by policies that ensure the benefits are distributed more equally across society.

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